Mylan: Deeply Undervalued Leader In Generics And Key Beneficiary Of Patent Expiries, With 100% Upside

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Summary

- Mylan is a leader in generic pharmaceuticals set to beat in the coming few quarters. The patent cliff is putting the wind behind generics, and MYL is a key beneficiary.
- With one of the largest drug pipelines in the industry, MYL is a natural M&A target. The company recently rejected a takeover bid at $82/sh (+87% from the current price).
- After rejecting a high takeover bid, Mylan's stock took a beating (falling from >$70 to the low $40s). Today's discounted price gives investors even material upside (+108-122%).

Recommendation: Strong Buy, PT $97 (+122%)

You've probably heard about something called the "patent cliff" faced by branded drug companies, many of which have experienced their exclusive, high-priced products responsible for a large share of revenues suddenly open to competitive market forces. This has caused painful shifts in the big pharma sector. A key beneficiary? Mylan (NASDAQ: MYL).

Mylan recently took a beating after generics giant Teva Pharmaceutical Industries (NYSE:TEVA) withdrew a hostile takeover bid at $82/share (an 87% premium over the stock's current $43 trading price), giving investors an opportunity to get into the stock cheap. Based on peer multiples, the stock is worth approx. $91-97/share, giving +108-122% upside over the coming year. It was only months ago when rival Teva valued the stock at $82/share, a far cry from current levels. Logically speaking, Teva wouldn't have offered $82/share just months ago if the company's true value was only in the mid-$40s. Moreover, Mylan's management would've gladly taken Teva's $82 bid had it not been privy to some substantial growth drivers in the coming periods. After the Teva deal fell apart, MYL's stock tumbled from over $70/share to the mid-$50s and now hovers just over $40/share.

Mylan's multiple has been further suppressed as of late due to the company's prolonged battle to acquire over-the-counter rival Perrigo (NYSE:PRGO), but this is set to expire tomorrow (on 11/13). MYL's pursuit of PRGO has been unpopular at best and is likely to fall through, a positive catalyst for Mylan's stock - without Perrigo, MYL's shareholders will have escaped the burden of a potentially bad acquisition and the company will again be ripe for the picking as a prime acquisition target in the consolidating generics market. This could reignite the M&A story, and this time management will be under serious pressure to sell out. Mylan has long been a natural acquisition target due to its dominant position in generics and

differentiated competitive offering. While even major drug companies often have only a dozen or so products to sell, Mylan boasts a portfolio of about 1,400. In fact, roughly 1 out of every 13 prescriptions dispensed in the U.S. is a Mylan product.

If the PRGO acquisition falls through, I'm of the view that the benefits to MYL's stock will far outweigh any possible downside due to the costs spent on pursuing the company. Not only will it free up MYL's cash so that it can now seek other M&A candidates, but it will also relieve the company of what's considered a major burden to potential acquirers (preventing the company from being bought out). While one could argue management's pursuit of PRGO reflects a lack of focus on the core business, MYL has always been focused on increased diversification in the business so as to prevent any downside from major high-risk concentration areas (which is a typical problem with pharma companies). I see it highly likely that investors will agree with me - if the PRGO acquisition fails, MYL will likely see a nice bounce.

Due to the aforementioned factors, Mylan's stock has been significantly oversold. Its top line has been growing an average of 10% annually over the past half decade, a pace that has picked up in the last year. The company is set to deliver 30% top-line growth this year and should continue to grow into 2016 in the high-double digits (15-20%). Net income is up a stunning 33% per annum over the past 5 years and 57% in the last twelve months. From 2010-2014, Adjusted net income rose a whopping 245% (or 61% per annum) from $346mm to $1.2B. Adjusted EPS have grown over 10% in every year since 2012, and growth has accelerated as of late into the mid-to-high double digits. This is a company that has consistently put up extraordinary performance and, until recently, its stock price has been well rewarded.

See Footnote (1) for a detailed discussion on the difference between GAAP sales, cost of sales, and earnings and non-GAAP or "Adjusted" sales, cost of sales, and earnings/EPS. The calculation of Adjusted EPS and other Adjusted financial statement line items is described therein.

Today, MYL trades at only 9x Adjusted 2016 (consensus) earnings, making it cheaper than generics rival Teva trading at roughly 11x NTM EPS. Teva's suppressed multiple is understandable - it's key branded product just opened to competition from generics. A better comparison would be to rival Perrigo. Perrigo trades at 17x 2016E earnings, making Mylan look like a bargain. In fact, MYL currently trades at a meaningful discount to all other competitors, ranging from smaller rivals like Dr. Reddy's Laboratories (NYSE:RDY) right up to specialty pharma behemoth Allergan (NYSE:AGN).

My estimates suggest the stock trades at an even greater discount - the company is poised to beat estimates (on the top and bottom line) both this year and next. Bottom-up analysis indicates the company is set deliver Adj. EPS in 2015 and 2016 of $4.95 and $6.07,

respectively (the model is provided later in this report). Applying a 16.0x median P/E assigned to the peer group (using Bloomberg's North American mid-cap generics pharma peers), MYL's fair value is ~$97/share (giving +122% upside).

Mylan's diversified business model provides multiple growth drivers over the next several years coupled with a lower dependence on any given geography or product type. Current trading offers a compelling buy opportunity with limited near-term risk, largely due to overdone concerns around long-term visibility (associated with uncertain M&A/deal outcomes).

Background

Mylan N.V. is a global pharmaceuticals company with one of the largest generic drug pipelines. After its recent $6.3B acquisition of Abbott Lab's (NYSE:ABT) International Specialty Pharma business, Mylan's global footprint encompasses 145 countries, with 40 manufacturing facilities and a portfolio of 1,400 products. Mylan is truly a "one-stop shop" for generic prescription products in the U.S. and branded-generic products internationally. MYL is ranked #1 in U.S. generic products by sales and #2 by prescriptions dispensed.

Mylan's vertically integrated platform gives the company an industry-leading supply chain and offers significant scope and scale in the generics market. Over the years, Mylan has built a strong reputation as a premier drug manufacturer. The company has demonstrated its ability to supply customers with difficult-to-make products, like Duragesic (fentanyl patch for the treatment of severe pain), which remains a major contributor to the company's sales in the U.S. In 2014, Mylan was awarded 47 U.S. generic product approvals, significantly more than peers such as Teva, Sandoz, Actavis, and Apotex.

With an estimated 45% of total revenue derived from international markets (25% EMEA, 20% RoW) and a major footprint in France, Australia, the U.K., Germany, Spain, Italy and Japan, Mylan should benefit as each country moves to increase generic drug utilization. Unlike the U.S., where generics make up 85-90% of total prescription volumes, countries like France, Spain, Italy, Australia and Japan have far lower generic drug penetration rates. Mylan's recent acquisition of Abbott's International Specialty Pharma segment is expected to add another 100 established branded products to the MYL portfolio. With ~270 ANDAs pending FDA approval representing $100B+ in annual branded sales, and 44 first-to-file opportunities representing $29B in annual branded sales, Mylan's pipeline is one of the largest in the industry. The company has more than 3,700 global filings pending regulatory approval. In the world of generics, Mylan is a major global player that benefits from vertical integration (significant API raw materials sourcing from its facilities in India).

Catalysts

MYL is at an inflection point poised to beat in the coming several quarters. The company recently posted better-than-expected Q3 results and has several tailwinds extending into 2016 and beyond. Near-term financials will be boosted by more favorable market dynamics for MYL's core EpiPen branded product after generics competition from rival Teva was pushed back to at least 2H 2016, and the company will also benefit from competitor Sanofi's (NASDAQ:SNY) recent recall of its epinephrine injectable the Auvi-Q.

Mylan's Generics segment (comprising 83% of revenues) recently posted a solid 3Q beat with sales growth of +40% YoY, reflecting MYL's leadership and competitive differentiation. MYL focuses on unique generic products that are difficult to formulate and manufacture. Early in the company's development, its founders decided that vitamins and antibiotics would be far less profitable than novel painkillers and special formulations. This focus has given Mylan a significant competitive edge and enables the company to command premium margins. Mylan was also the first generic manufacturer to also make branded products, and it still improves sales and margins with the continuous introduction of exclusive specialty products.

Though Teva's acquisition of the company fell apart, merger mania is still in the air. MYL has placed a bid for rival Perrigo, with a stock-and-cash tender set to expire tomorrow, giving PRGO stockholders the option to exchange each share of PRGO for 2.3 shares of MYL, plus $75 cash. Mylan's pursuit of Perrigo has been unpopular as investors worry the hostile takeout will result in integration issues, unnecessary costs and a diluted bottom line (the acquisition would dilute MYL EPS until *year 4*). If the deal falls through, as it likely will, this will be viewed favorably - without Perrigo, MYL will again be a ripe acquisition target and the company's management will see heightened pressure to sell out.

It is highly unlikely that the required 50-80% of PRGO's shareholders will accept the tender, as it only represents an 11% premium on current PRGO trading and at its highest (when the option was initially presented to PRGO's shareholders) represented a premium of 14%. This represents the lowest premium to an unaffected share price of any recent biopharma deal and is well below the going rate. Aside from the measly premium, PRGO has a strong argument against the acquisition: (1) over 75% of PRGO's infrastructure is in businesses where MYL has no presence; (2) Mylan's U.S.-DMF manufactured APIs have application to less than 1% of PRGO's over-the-counter business; and (3) there is no alignment between the core competencies of the two companies and no basis for synergistic integration. Aside from a lack of shared competencies and little/no synergies, some would argue MYL would be stealing value from PRGO's shareholders as the combined company would have a lower trading multiple, lower growth and weaker margins.

Earnings estimates for MYL have been on a consistent uptrend since 2013. Until Teva withdrew its hostile bid earlier this year (April), the company's stock (depicted by the white line in **Figure 1**) closely followed this upward trend. But after the takeout fell through in April, earnings estimates continued to rise (the red line in **Figure 1**), but the stock's trajectory began to diverge, moving in the opposite direction. This should reverse over the medium term, leading the stock up as it converges with earnings.

Figure 1: MYL's Earnings Estimates & Revisions Trend



Source: Bloomberg

As can be seen in **Figure 1**, after the Teva acquisition fell through, MYL began trading at a meaningful discount to historical multiples.

The Teva withdrawal also brought MYL's multiple to a significant discount to its North American mid-cap generics peer group (see **Figures 2 & 3**) despite the company's stronger revenue growth and growing margins (**Figure 4**). MYL trades at only 9x its 2016E consensus EPS (Adj.), well below the peer median of 16.0x (**Figure 3**).

Figure 2: MYL's Current Relative Valuation vs. Historical Relative Valuation



Source: Bloomberg

Figure 3: Bloomberg North American Mid-Generics Peer Multiples

		MYL US Equity	LCI US Equity	MNTA US Equity	SGNT US Equity	IPXL US Equity	TARO US Equity	TEVA IT Equity	PRGO US Equity	AGN US Equity	Peer Multiples Average	Peer Multiples Median
EV/Total Revenue	LFY	3.82x	4.78x	8.89x	2.55x	3.09x	5.95x	2.80x	5.89x	6.41x	4.9x	4.8x
	LTM	2.84x	4.78x	8.54x	1.44x	3.62x	5.58x	2.99x	5.68x	8.42x	4.9x	4.8x
	FY+1	2.84x	1.88x	8.23x	1.47x	3.58x	4.91x	3.14x	5.24x	9.30x	4.5x	3.6x
	FY+2	2.58x	1.31x	4.65x	1.27x	2.99x	4.36x	2.39x	4.56x	9.58x	3.7x	3.0x
EV/EBITDA	LFY	15.36x	8.37x	n/m	25.79x	14.99x	9.44x	9.15x	19.62x	53.66x	19.5x	15.2x
	LTM	11.98x	4.57x	n/m	23.29x	29.27x	8.14x	9.32x	20.26x	59.17x	20.8x	16.1x
	FY+1	8.89x	4.12x	n/m	21.60x	14.44x	7.51x	9.56x	17.79x	21.66x	13.2x	12.0x
	FY+2	7.86x	3.15x	25.23x	11.07x	9.60x	6.71x	6.53x	15.10x	18.15x	11.5x	9.6x
P/E	LFY	18.62x	13.34x	-	20.23x	27.11x	12.53x	15.88x	50.68x	126.43x	35.6x	19.4x
	LTM	16.74x	8.54x	-	15.38x	67.69x	10.93x	13.68x	52.37x	148.41x	41.7x	16.1x
	FY+1	10.22x	8.52x	-	770.50x	30.66x	11.43x	11.02x	20.65x	20.47x	110.4x	16.0x
	FY+2	8.95x	7.80x	46.66x	28.43x	17.17x	9.93x	10.51x	17.12x	19.30x	18.4x	17.1x
Revenue Growth	1 Year	11.7%	48.6%	47.3%	18.1%	16.5%	13.7%	-0.2%	17.8%	50.5%	24.9%	17.8%
	5 Year	15.2%	36.7%	24.1%	31.9%	2.2%	-	2.8%	20.8%	39.0%	21.6%	22.5%
EBITDA Growth	1 Year	16.2%	146.7%	10.6%	-25.7%	314.7%	20.9%	-9.3%	49.1%	151.1%	74.9%	20.9%
	5 Year	15.7%	66.9%	-	-	4.2%	-	9.3%	31.6%	22.2%	25.0%	19.0%
EBITDA Margin	LTM	25.4%	57.0%	-70.3%	5.2%	13.8%	64.7%	33.0%	28.0%	15.8%	19.3%	25.4%
	FY+1	31.9%	45.5%	-40.7%	6.8%	24.8%	65.4%	32.8%	29.5%	42.9%	26.6%	31.9%
	FY+2	32.84%	41.7%	18.4%	11.5%	31.2%	64.9%	36.6%	30.2%	52.8%	35.6%	32.8%

As shown in **Figures 4 & 5** below, Mylan's return and margin profiles have strengthened significantly since 2013. Return on Assets (ROA), Return on Equity (ROE) and Return on Capital (ROC) all improved YoY in 2013 and 2014, as did gross and (normalized) net margins.

Figure 4: MYL's Growth, Margin, Activity & Solvency Analysis (2004-2014)

GROWTH / RATIO ANALYSIS	FY 2004	FY 2005	FY 2006	FY 2007	FY 2008	FY 2009	FY 2010	FY 2011	FY 2012	FY 2013	FY 2014
Profitability											
Return on Assets	18.5%	10.2%	9.2%	-17.2%	-1.7%	2.2%	3.1%	4.6%	5.4%	4.6%	6.0%
Return on Capital	--	11.5%	12.3%	--	--	6.1%	9.1%	10.2%	10.6%	9.1%	11.0%
Return on Equity	21.5%	11.6%	14.0%	-55.1%	-10.4%	3.2%	6.6%	15.1%	18.8%	19.9%	30.0%
Margin Analysis											
Gross Margin	55.5%	49.7%	49.9%	40.1%	40.3%	40.7%	40.7%	41.8%	42.8%	44.0%	45.7%
SG&A Margin	--	--	--	--	--	--	--	--	--	18.8%	19.3%
EBITDA Margin	36.7%	25.6%	32.3%	20.0%	21.9%	18.2%	21.0%	24.7%	24.4%	23.9%	24.9%
EBIT Margin	33.5%	22.0%	28.6%	12.8%	13.6%	10.3%	13.2%	16.4%	16.3%	16.4%	17.5%
Earnings from Cont. Ops Margin	33.5%	22.0%	28.6%	12.8%	13.6%	10.3%	13.2%	16.4%	16.3%	16.4%	17.5%
Net Income Margin	24.3%	16.2%	14.7%	-52.2%	-3.5%	4.6%	6.3%	8.8%	9.4%	9.0%	12.0%
Normalized Net Income Margin	22.7%	16.2%	18.5%	10.9%	4.8%	5.7%	6.7%	9.9%	11.1%	11.8%	15.6%
Free Cash Flow Margin	7.8%	9.0%	24.9%	2.6%	4.3%	8.8%	13.6%	7.2%	9.5%	11.2%	8.9%
Asset Turnover											
Total Asset Turnover	0.8x	0.6x	0.6x	0.3x	0.5x	0.5x	0.5x	0.5x	0.6x	0.5x	0.5x
Fixed Asset Turnover	6.1x	4.1x	3.4x	2.9x	4.7x	4.7x	4.7x	4.9x	5.0x	4.5x	4.5x
Accounts Receivable Turnover	7.3x	5.1x	4.7x	3.2x	4.5x	4.2x	4.6x	4.7x	4.6x	4.1x	3.8x
Inventory Turnover	2.2x	2.1x	2.2x	1.9x	2.9x	2.8x	2.7x	2.7x	2.7x	2.4x	2.5x
Short Term Liquidity											
Current Ratio	7.6x	6.2x	4.5x	1.5x	2.1x	1.9x	2.0x	1.4x	1.8x	1.5x	1.3x
Quick Ratio	5.1x	4.5x	2.9x	0.9x	1.1x	1.0x	1.0x	0.7x	0.9x	0.7x	0.5x
Cash from Ops. To Curr Liab	4.0x	3.3x	2.0x	0.3x	0.4x	0.2x	0.4x	0.2x	0.2x	0.1x	0.0x
Avg. Days Sales Out.	50.4x	71.1x	78.3x	201.8x	81.8x	86.0x	80.1x	76.9x	80.3x	89.1x	96.7x
Avg. Days Inventory Out.	167.0x	175.9x	163.9x	329.5x	127.1x	131.8x	132.9x	134.9x	137.5x	150.1x	144.0x
Avg. Days Payable Out.	28.1x	36.4x	45.4x	110.4x	73.3x	65.7x	58.8x	62.2x	67.5x	84.4x	86.3x
Avg. Cash Conversion Cycle	189.3x	210.6x	196.7x	420.9x	135.6x	152.1x	154.1x	149.7x	150.3x	154.8x	154.4x
Long Term Solvency											
Total Debt/Equity	1.2%	1.1%	87.9%	153.1%	187.9%	120.5%	112.1%	138.1%	151.9%	271.3%	260.6%
Total Debt/Capital	1.2%	1.1%	46.8%	60.5%	65.3%	54.7%	52.8%	58.0%	60.3%	73.1%	72.3%
LT Debt/Equity	1.2%	1.0%	87.0%	138.3%	184.2%	114.9%	107.8%	115.1%	140.7%	257.9%	176.1%
LT Debt/Capital	1.1%	1.0%	46.3%	54.1%	63.3%	51.9%	50.6%	48.2%	55.6%	69.0%	48.5%
Total Liabilities/Total Assets	2.2%	2.1%	43.7%	52.1%	58.4%	55.0%	53.0%	47.7%	53.5%	61.3%	46.0%
EBIT / Interest Exp.	--	--	11.48x	1.55x	1.96x	1.64x	2.18x	2.99x	3.59x	3.62x	4.06x

Figure 6: The Financial Model - Summary Statistics



Mylan's top line has been growing an average of 10% annually over the past half decade, a pace that has picked up in the last year. The company is set to deliver 30% top-line growth this year and should continue to grow into 2016 in the high-double digits (15-20%). Net income is up a stunning 33% per annum over the past 5 years and 57% in the last twelve months. From 2010-2014, Adjusted net income rose a whopping 245% (or 61% per annum) from $346mm to $1.2B. Adjusted EPS has grown over 10% in every year since 2012, and growth has accelerated as of late into the mid-to-high double digits. This is a company that has consistently put up extraordinary performance and, until recently, its stock price has been well rewarded.

MYL trades at only 9x Adjusted 2016 (consensus) earnings, making it cheaper than generics rival Teva trading at roughly 11x NTM EPS and much cheaper than over-the-counter rival Perrigo. Perrigo trades at 17x 2016E earnings, making Mylan look like a steal. MYL also trades at a meaningful discount to other competitors, ranging from smaller rivals like Dr. Reddy's Laboratories right up to specialty pharma behemoth Allergan. Teva's discounted price is understandable - its flagship branded drug Copaxone was recently opened to generic competition, and the company's revenues have been declining since 2012 (and continue to decline). Mylan, on the other hand, has seen a rapid uptick in top-line growth and margins continue to expand. MYL's revenues grew 12% YoY in 2014 and 23% YoY in 2015 year to date, with a rapid acceleration in the second and third quarters (+29% YoY in each quarter).

When compared to the upward earnings revisions for MYL (**Figure 1**), the performance of higher-priced rivals Teva and Perrigo has been disappointing at best. Teva has seen estimates on a downtrend (**Figure 6**) and PRGO's performance has been even worst (**Figure 7**).

Figure 6: Teva Pharmaceutical Industries' Earnings Estimates & Revisions



Source: Bloomberg

Figure 7: Perrigo's Earnings Estimates & Revisions



Source: Bloomberg

Though I've placed special attention on key rivals Teva and Perrigo, Mylan trades at a meaningful discount to all of its generic peers

Risks to My Thesis

Drug prices are skyrocketing - an issue that's hurt many consumers and is garnering heightened political attention. Generally, generics are regarded as a solution to high-cost branded drugs, but over the last year, they've contributed to the problem. According to one analysis, the average cost of the 50 most widely prescribed generics went up 373% in 2014 alone. Some of this can be attributed to problems with raw materials supply (a key competitive advantage of Mylan's), as well as industry consolidation that has eliminated competition in certain markets. A push for quality control by the FDA has also increased generic production costs. Mylan was a short-term beneficiary of all this - its gross margin spiked to an eight-year high last year (and has held up in YTD 2015). Though positive in the near term, this could spell trouble for years ahead. Congress has already taken note of the climbing cost of generics.

I'm also keeping an eye on the company's balance sheet. Though it has come down in recent quarters (from >$8B), Mylan currently sits on >$5B in net debt, or roughly 3.4x the company's operating profit (EBIT) over the last twelve months (TTM). If the company raises more debt to finance acquisitions, the company could lose its investment-grade rating - despite management's commitment to maintain it. If this were to happen, it would be reason for concern given the difficulties it would present in completing future deals and financing the debt load.

The Bottom Line

After becoming CEO in 2012, Heather Bresch announced that the company would double its product portfolio and manufacturing capacity while growing adjusted EPS to $6 per share by 2018 - a goal she is well on her way to achieving. The company has several growth levers to pull in getting there - not just new product introductions and acquisitions, but also a further reach into underserved parts of the world.

If the company hits its growth targets - which I believe it will - investors will profit from a company intent on serving 7 billion people.

Footnotes:

(1) The difference between GAAP EPS and Adjusted EPS is that Adjusted EPS is calculated to remove items that are not part of the ongoing business operation, such as one-time income and expense items. In MYL's case, recent financials adjust net sales by adding to GAAP sales figures the amount of an acquisition-related customer incentive in Europe (in both the Generics and Branded segments). Certain items are excluded in the Adjusted Cost of Sales figure that are included in GAAP Cost of Sales - this generally includes non-cash amortization expense required under GAAP purchase accounting (which has no business being in the "cost of sales"), as well as non-recurring acquisition-related costs and restructuring expenses. Adjusted net earnings attributable to Mylan shareholders is a non-

GAAP financial measure and provides an alternative view of performance, often used by investors, management, and street analysts as a better measure of the results of ongoing operations and financial performance. Primarily due to acquisitions, an evaluation of the company's ongoing operations (and comparison of current operations with historical and future operations) would be misleading if financial reports only included financial measures prepared in accordance with U.S. GAAP. Adjusted Earnings and Adjusted Diluted Ordinary Earnings per Share ("Adjusted EPS") are two of the most important financial metrics related to the ongoing operating performance of the company, and investors' understanding of MYL's performance is enhanced by these adjusted measures. Actual internal and forecasted operating results and annual budgets use Adjusted Earnings and Adjusted EPS, and the financial performance of the company is measured by senior management on this basis along with other performance metrics. Management's annual incentive compensation is derived in part based on the Adjusted EPS metric.

This article was written by



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I specialize in understanding the dynamics that underlie and drive investment performance in today's global financial markets, despite a muddling of views among regulators and investors alike in the new, free money era. Following the global financial crisis, expansionary monetary policies of unprecedented magnitude implemented by major central banks across the globe (primarily those of the so called "core economies") have completely redefined the ways in which the global markets operate. I am not your typical hedge fund or money manager who stamps a disclaimer on investment performance with the assertion that "we are bottom-up, fundamental equity investors" who "do not attempt to forecast the markets." I go far beyond this basic, fundamental analysis and offer unique foresight into major anticipated (equity and credit) market movements BEFORE they materialize.

I have a with a knack for identifying under- and over-valued positions and a strong understanding of macroeconomics. I constantly analyze and evaluate central bank policies globally as well as global trade conditions. I have unique experience particular to sectors such as energy (both conventional and non-conventional), agriculture, infrastructure and real assets (industrials, real estate, water infrastructure, roads/railways, etc.), in addition to chemicals and consumer products; however, I've been a generalist research analyst for the majority of my career to date. Options are a trading mechanism of choice, particularly when I

have visible catalysts for near-term price appreciation (or depreciation in the case of puts). I also utilize options strategies to earn large profits with limited downside risk.
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